along the way (2000–03, 2008–09, 2011). That's 13 years just to get to breakeven.

The book contains other claims that were questionable then and look utterly ridiculous now. Perhaps its greatest sin is the foolish extrapolation during peak boom years that stock prices would triple every seven years. This forecast simply tacked on the *prior* seven-year run—one at a record-breaking pace which was the crescendo of the 18-year bull market that had begun in 1982—and assumed it would continue.

Rather than engage in more schadenfreude, here are ten valuable insights I gleaned from reading (and disagreeing with) the investing and literary disaster that was the book *Dow 36,000*:

1. Every **bull** market is followed by a **bear** market.
2. **Buy & hold** is easy during secular bull markets, but much more challenging during secular bear markets.
3. Returns are a function of **risk**: The greater return you seek, the more risk you must be willing to accept.
4. **Valuation** matters a great deal.
5. "Risk" means that sometimes, you get less than your **expected returns**.
6. The **business cycle** exists, and **recessions** occur regularly.
7. Markets are subject to bouts of **extremes**. They are, after all, just crowds of people, where emotions sometimes prevail over logic.
8. **Behavior** is an important part of performance. Temporary drawdowns become permanent losses if you behave foolishly during inevitable downturns.
9. **Extrapolating** the current trend to infinity or zero is foolhardy.
10. **Politics and investing** make for terrible bedfellows.